

GOLD VS SILVER

GOLD

- Strategic allocation
- Driven by real rates, currency trends, and risk sentiment
- Lower volatility; good for diversification and downside protection

SILVER

- Tactical allocation
- Influenced by industrial demand and economic cycles
- Higher volatility; sharper price swings

PORTFOLIO APPROACH

- Keep gold as core exposure
- Buy silver as a smaller satellite position
- Prefer staggered investing and periodic rebalancing

OBJECTIVE

- Risk management, not return maximisation



IDEAL INVESTOR ALLOCATION

Investor Segment	Gold Allocation	Silver Allocation	Approach	Preferred Products
First-time earners	3–7%	Small / optional	Start small, SIP/ETF	Gold ETFs, Digital Gold
Mid-career professionals	5–12%	Moderate	Balance growth & stability, partial tactical	ETFs, SGBs
High-net-worth households	10–18%	20–30% of metals allocation	Strategic, rebalancing, capital preservation	ETFs, SGBs, physical

ing portfolios during periods when correlations across equities and other risk assets rise,” says Katke.

RISK DIFFERENTIATION

Gold and silver have different drivers and risk profiles. Gold’s role in a portfolio is primarily strategic: it is driven by monetary factors such as real interest rates, inflation expectations, currency trends, and geopolitical risk. “Historically, it has lowered volatility and given strong diversification benefits during market stress, making it a core holding for stability, downside protection, and long-term capital preservation,” says Sirshendu Basu, Head, Product Management & Strategy, Bandhan AMC.

Silver, while also a precious metal, has been in short supply, with demand rising due to expanding applications in green energy, electrification, solar power, and other new-age technologies. These factors support its long-term price outlook. “However, silver is significantly more volatile than gold and is often subject to sharp speculative moves, requiring a deeper market understanding and a more tactical approach to allocation,” says Basu. Evidence supports more weight to gold for resilience and a measured allocation to silver to capture the growth-linked upside.

“Gold is insurance. Its value comes from trust, liquidity, and role as a hedge against currency debasement, geopolitical risk, and financial stress. Gold performs when real rates fall, currencies weaken, or uncertainty rises. Investors should hold gold for stability, not excitement. It is the anchor that protects purchasing power during drawdowns in equities and bonds,” says Jain.

Silver is a hybrid asset. Roughly half of demand comes from industrial uses, including solar panels, electric vehicles, electronics, and